- Be at an informational disadvantage

Given these tendencies, it would seem best for most investors to adopt instead a disciplined, rules-based approach, such as the one featured in this book.

BLOWIN' IN THE WIND

Studies show that momentum works well with almost any asset class.[23] However, we can maximize our return through intelligent asset choice. Risk premium can serve as a tailwind to accentuate return and ensure that the odds of continuing success remain in one's favor. U.S. stocks, with their 6.7% real return over the past 200 years, represent a strong and forceful wind that can fill the sails of our momentum model. Bonds, with a real return of 3.8%, are like a gentle breeze. Non-U.S. equities, with a risk premium somewhere between these two, are a steady zephyr. Commodities, hedge funds, private equity, and active investment management represent eddies, crosswinds, and head winds that may impede, rather than assist, our forward progress.

Today's overemphasis on diversification often leads to mediocrity and unnecessary expense. (Alternative assets comprise 10% of pension fund assets but earn 40% of total fees paid.) Without discrimination, diversification can become "deworsification." We shall see in later chapters that low-cost equity and fixed-income index funds, appropriately selected by dual momentum, are all that one needs for investment success. As Mae West once said, "Too much of a good thing can be … wonderful."